



ISA 315 (Revised)

Identifying and Assessing the Risks of Material Misstatement

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IAASB Meeting – New York, USA

Agenda Item 2

June 17, 2019



**International Auditing
and Assurance
Standards Board**

ISA 315 (Revised)–Overarching Changes (Requirements)

Revised drafting approach as agreed with Board (March 2019):

- **Revised approach to requirements:**
 - Focus on “what” is required – maintaining the robustness of the standard
 - Definitional material (or criteria) relocated to definitions – implicitly required to be complied with
 - The “why” relocated to application material, except when the “why” is a necessary threshold for execution of requirement – in which case included in requirements
 - The “how” relocated to application material

ISA 315 (Revised)–Overarching Changes (Application Material)

- **Revised approach to application material:**
 - o Distinguishing
 - The ‘why’?
 - Scalability paragraphs
 - Examples – presented in a box
 - Automated tools and techniques
 - o Address **long, complex paragraphs**
 - o **Simplify language** where possible
 - o Use **bullet lists** where possible – easier to read
 - o **Consistency** across sections where possible
 - o Use of **appendices** for guidance material

ISA 315 (Revised)

Question 1(a)

What are the Board's **overall** views about the approach with respect to the redrafted

- Requirements
- Application material

Full standard presented in clean – **Agenda Item 2-F**

*Extant requirements to proposed requirements – **Agenda Item 2-G***

ISA 315 (Revised)

Question 1(b)

What are the Board's views about the proposed changes to:

- Requirements
- Definitions
- Application material

(The Task Force Chair will walk through the standard – relevant paragraph numbers to follow)

ISA 315 (Revised)–Definitions and Related Application Material

Definitions (not covered as part of the requirements)

Par #	Definition	Application Material:
16(b)	Assertions	A1 – A2
16(c)	Business risk	-
16(ea)	Information processing controls	-

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Risk Assessment Procedures and Related Activities

Par #	Requirements & Definitions	Application Material
17.	Performance of risk assessment procedures	A11a – A16d
16(i)	Definition: Risk assessment procedures	
18.	Nature of risk assessment procedures	A17 – A36
19.	Other relevant sources of audit evidence	A37 – A38
16(ga)	Definition: Other relevant sources of audit evidence	
21.	Information from previous experience	A39 – A40
22–22A	Engagement team discussions	A40a – A46

ISA 315 (Revised)–Requirements, Definition and Related Application Material

Obtaining an Understanding of the Entity and its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control

Par #	Requirements & Definitions	Application Material:
23. 16(gc)	Understand the relevant aspects of: (a) Entity and its environment Definition: Relevant aspects of the entity and its environment	A47 – A47h A48 – A78
23.	(b) Applicable financial reporting framework	A78a – A88
23. 16(l)	(c) Components of the entity's system of internal control Definition: System of internal control	A89 – A104
24.	Evaluate the entity's accounting policies	-

ISA 315 (Revised)–Inherent Risk Factors

Inherent Risk Factors

References in the standard to the Inherent Risk Factors	References
Definition	16(f), A5 – A6
Requirement: Understand the relevant aspects of the entity and its environment, including how events and conditions are subject to, or affected by, the <i>inherent risk factors</i>	23(a) A48a – A48d
Requirement: Assess inherent risk of material misstatement at the assertion level – In doing so, the auditor shall take into account how, and the degree to which, identified events and conditions relating to significant classes of transactions, account balances and disclosures are subject to, or affected by, the <i>inherent risk factors</i>	48(a) A221
Understanding the <i>inherent risk factors</i>	Appendix 2

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Components of the Entity’s System of Internal Control

Par #	Requirements & Definitions	Application Material
28.	Evaluate the relevant aspects of the control environment	A105 – A114a
16(gb)	Definition: Relevant aspects of the control environment	
30.	Evaluate the relevant aspects of the entity’s risk assessment process and the entity’s process to monitor the system of internal control	A117 – A120 A123 – A128a and A131 – A135a
	Definition: Relevant aspects of the entity’s risk assessment process Definition: Relevant aspects of the entity’s process to monitor the system of internal control	16(ge) 16(gd)
31.	Risks of material misstatement that management failed to identify	-
33.	Sources of information used in the entity’s process to monitor the system of internal control	A129 – A130

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Components of the Entity’s System of Internal Control (cont.)

Par #	Requirements & Definitions	Application Material
36.	Evaluate the relevant aspects of the entity’s information system and communication	A135i – A159
16(gf)	Definition: Relevant aspects of the entity’s information system and communication	A8a
39.	Identify controls that address risks of material misstatement in the control activities component	A160 – A179
	(a) Controls that address significant risks	A169 – A173
	(b) Controls over journal entries	A174 – A175a
	(c) Controls that are necessary to achieve objectives of para. 17(a) and (b)	A175b – A175c
	(d) Controls for which the auditor plans to test operating effectiveness, which includes controls that address risks for which substantive procedures alone are not sufficient	A175d – A178
16(d)	Definition: Controls	A3 – A4
16(ca)	Definition: Control activities	A2a

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Components of the Entity's System of Internal Control (cont.)

Par #	Requirements	Application Material
40.	Identify IT applications and other aspects of the entity's environment that are subject to risks arising from IT. For such IT applications, and other aspects of the IT environment, identify (a) Related risks arising from the use of IT (b) General IT controls that address such risks	A179a – A193
16(g)	Definition: IT environment	
16(ha)	Definition: Risks arising from IT	
16(e)	Definition: General IT controls	
42.	For each control in the control activities component (a) Evaluate design (b) Determine implementation	A194 – A200
43.	Control deficiencies	A200a – A200c

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Identifying the Risks of Material Misstatement

Par #	Requirements	Application Material
45.	Identify risks of material misstatement and determine whether they exist at: (a) Financial statement level (b) Assertion level for classes of transactions, account balances and disclosures	A201 – A202a and A206a – A206c A207 – A207d A202b – A206 and A208 – A210
46.	Determine relevant assertions and the significant classes of transactions, account balances and disclosures	A211 – A214
16(h)	Definition: Relevant assertion	A9
16(j)	Definition: Significant classes of transactions, account balances and disclosures	

ISA 315 (Revised)–Requirements, Definitions and Related Application Material

Assessing the Risks of Material Misstatement

Par #	Requirements	Application Material
47.	Assessing risks of material misstatement at the financial statement level	A215 – A220
48.	Assess inherent risk at the assertion level	A220a – A228
49.	Determine significant risks	A228a – A231
16(k)	Definition: Significant risk	A10
50.	Determine risks for which substantive procedures alone cannot provide sufficient appropriate audit evidence	A231a – A231f
51.	Assess control risk	A232 – A235a

ISA 315 (Revised)–Requirements and Related Application Material

Evaluate the Audit Evidence from Risk Assessment Procedures

Par #	Requirement	Application Material
51.	Evaluate the Audit Evidence – appropriate basis for risk identification and assessment & design of further audit procedures	A239a – A239b

Stand-back

Par #	Requirement	Application Material
52.	Stand-back – material classes of transactions, account balances or disclosures that have not been identified as significant classes of transactions, account balances or disclosures	A240 – A242

ISA 315 (Revised)–Requirements and Related Application Material

Revision of Risk Assessment

Par #	Requirement	Application Material
53.	New information which is inconsistent with audit evidence on which the auditor based the identification and assessment of risks of material misstatement	A243

Documentation

Par #	Requirement	Application Material
54.	Documentation	A244 – A247

Questions 2 (a) and (b)

The IAASB is asked for its views on

- (a) Whether changes are needed to ISA 200 to enhance ‘the authority’ of the definitions within the standards
- (b) Documentation requirements, as also discussed in paragraph 31(b) of the issues paper

ISA 315 (Revised)—Conforming Amendment to ISA 200

Proposed Conforming Amendments to ISA 200:

- New Application material to Risk of Material Misstatement (Ref: Para. 13(n))

A15a. [NEW] In determining identified risks of material misstatement, the auditor considers those risks for which a misstatement could be material, and the likelihood that the risk could occur (i.e., whether there is a reasonable possibility that the risk could occur). If there are risks that could result in a material misstatement and have a reasonable possibility of occurrence and that have not been addressed by the auditor's procedures, then audit risk is not at an acceptably low level. The auditor's judgment is necessary to identify which risks are identified risks of material misstatement.

Question 1(d)

- What are the Board's views about the proposed conforming amendments to ISA 200, as also discussed in para. 38 of the issues paper?

Question 1(b) (Cont.)

- Is there anything that should be further considered by the Task Force, relating to the requirements, definitions and application material, as it finalizes the standard for discussion in September 2019?

ISA 315 (Revised)–Appendices

Appendices

#	Appendix
1	Considerations for Understanding the Entity and Its Business Model
2	Understanding the Inherent Risk Factors
3	Understanding the Entity's System of Internal Control
4	Considerations for Understanding Internal Audit
5	Considerations for Understanding Information Technology
6	Considerations for Understanding General IT Controls

Question 1(c)

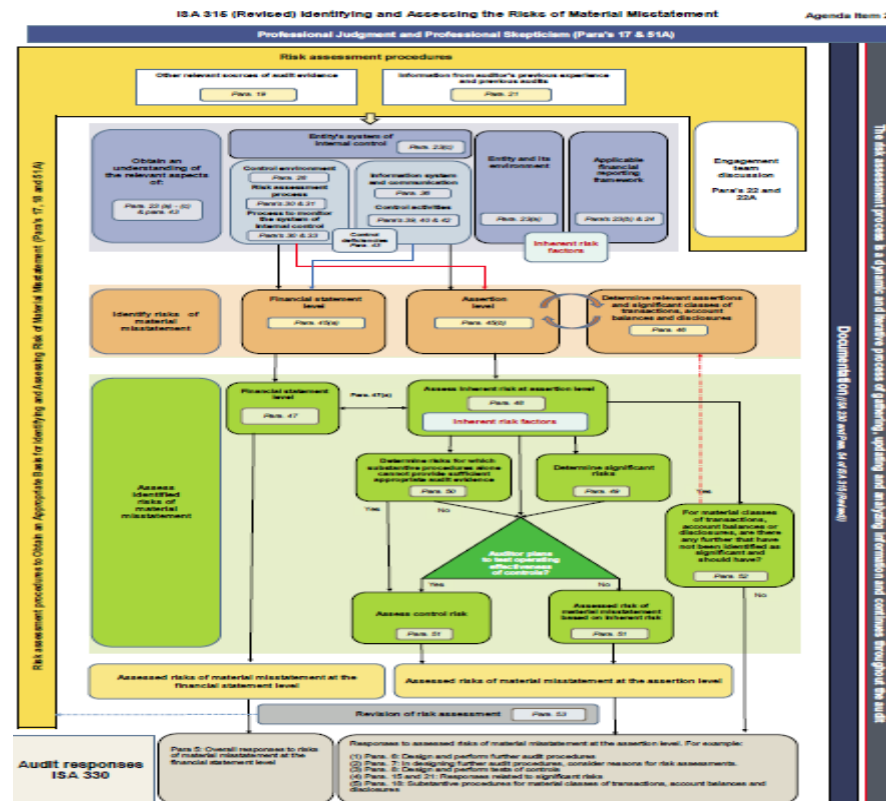
What are the Board's views about the revised appendices, in particular the new appendices that have been added?

ISA 315 (Revised)–Guidance (including flowcharts)

- Overall revised flowchart
 - Agenda Item 2
- Proposed outline of guidance
 - Agenda Item 2–E

Question 1(e)

The IAASB is asked for its views about the flowchart and the proposed outline of the guidance



ISA 315 (Revised)–Way Forward

Timeline:

- IAASB teleconference July/August 2019
 - Respondents' comments in relation to conforming amendments arising from ED-315
- Outreach on drafting approach: CAG & IFIAR
- IAASB meeting September 2019 – Expected approval of final standard, including consideration of:
 - Introductory paragraphs
 - Effective date
 - Translations
 - Public sector
 - Automated tools and techniques
 - Guidance (including flowcharts)



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